CANON MEXICANA, S. DE R. L. DE C. V.

TITLE: Policies					
NAME: Purchase of Spare Parts					
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	MONTH	DAY	YEAR		
	05	29	18		

Objective

Define the guidelines about purchase in order to speed up process and standardize operation in the BISG Spare Parts Division. With the final purpose to achieve and maintain a fill ratio off 95% in requested pieces from dealers with high turnover parts as well maintain an inventory rotation of 24 days to Canon line and 96 days to Oce line.

Guidelines Purchase of Spare Parts

1. The purchase of spare parts of planning BISG area will be only for the next lines:

SM	Health Care
S5	DG - DPS
S6	DG-DPS
S7	PPS
S8	DG-DPS
SD	NP Copier / imageRUNNER
SC	Micrographs
SY	Color laser copier
SI	PC Copier

2. The purchase of spare parts will be carried out under next guidelines:

Exist three purchases orders kinds:

a) Standard purchase (Refill)
   i. Each order can not exceed the 150 items.
   ii. The orders will be for montly refill spare parts of WP´s stocktaking.

Them will be generated during the first week every month, with weekly revisions according to the days of rotation.

b) Urgent purchase
   i. Can be purchased daily at the same moment is received the urgent request e-mail from line supervisor and prior authorization from the area manager.
   ii. Are excluded spare parts to discontinued models.

c) Backorder purchase
   i. Will be generated on Tuesday and Friday of each week.
   ii. Spare parts that by their increase in average sales don´t appear in inventory.

Shipping method:

a) Standard purchase:
   i. Delivery time since request purchase order until the availability in warehouse is from 3 to 4 weeks, considering the availability from the Canon provider.
   ii. The shipping method is by ground to Laredo´s, Tamaulipas customs.

b) Urgent purchase
   i. Delivery time since request purchase order until the availability in warehouse is 3 business days.
   ii. The shipping method is by airway with Fedex arriving to Toluca´s Airport.

c) Backorder purchase
   i. Delivery time since request purchase order until the availability in warehouse is 7 business days.
   ii. The shipping method is by airway with Fedex arriving to Toluca´s Airport.

Purchase conditions:

a) Standard purchase:
   i. Refill stocktaking.- The purchase spare parts for the refill WP inventory only can be about high turnover parts and spare new parts to wich by their monthly movement the sistem is considering.

For these purchases the file to considering will be obtain from GAIA and PO Planing Report for BISG Parts (S21).

Purchase request will be do during the first and third week in every month.

b) Back Order spare parts purchase.-
   i. It will be requested in agreement with the BO generated from the dealers purchases and field engineers every week with the condition them don´t have urgent character. The purchase has to be done Tuesday and Friday before 11:00 hrs.

For those purchases the file to considering is the PO Planing Report for BISG Parts (S21).

c) Urgent purchase.-
   i. Purchase spare parts for replacement of damaged or missing that require to be treated as urgent.
   ii. Purchases about these pieces will be done by e-mail from area supervisor and previous authorization from manager area, before 10:30 hrs.
   iii. Purchase order has to be done the same day from request.

	Purchase		
CRITERIA	Standard	Back order	Urgent
Method	By ground	Airway	Airway
Date of purchase	First and 3rd week on every month.	Tuesday and Friday on every week.	Monday to Friday
Delivery time of merchandise	**3 to 4 weeks** (with immediate availability of CUSA)	**7 business days** (with immediate availability of CUSA)	**3 business days** (with immediate availability of CUSA)
Place of arrival	Laredo, Tamaulipas.	Toluca´s airport and MCIA	Toluca´s airport and MCIA
Report	GAIA and S21	S21	Request from supervisor area

Request purchase orders to CUSA:

1. Purchase orders be generated according with the kind order defined above.
2. Purchase order will be sent through by EDI in S21.
2. Once sent to CUSA, them will be confirmed by e-mail and ask for a confirmation from who received.
3. Spare parts area will have do changes in S21 about codes according with the information from CUSA, in order to sent a new order.
4. Once it CUSA sent the confirmation order with information about the discontinued codes, incorrect or changes, the spare parts area sents as soon as possible this information to the dealers.
5. Monitored with Traffic Area the arrival merchandise to warehouse and check that the orders in systems are closed, with the purpose of we can send the merchandise to dealers.

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